

GCE A LEVEL MARKING SCHEME

SUMMER 2024 (Predicted)

A LEVEL

ECONOMICS – COMPONENT 3

A520U30-1H – Hard

About this marking scheme

The purpose of this marking scheme is to provide teachers, learners, and other interested parties, with an understanding of the assessment criteria used to assess this specific assessment.

This marking scheme reflects the criteria by which this assessment was marked in a live series and was finalised following detailed discussion at an examiners' conference. A team of qualified examiners were trained specifically in the application of this marking scheme. The aim of the conference was to ensure that the marking scheme was interpreted and applied in the same way by all examiners. It may not be possible, or appropriate, to capture every variation that a candidate may present in their responses within this marking scheme. However, during the training conference, examiners were guided in using their professional judgement to credit alternative valid responses as instructed by the document, and through reviewing exemplar responses.

Without the benefit of participation in the examiners' conference, teachers, learners and other users, may have different views on certain matters of detail or interpretation. Therefore, it is strongly recommended that this marking scheme is used alongside other guidance, such as published exemplar materials or Guidance for Teaching. This marking scheme is final and will not be changed, unless in the event that a clear error is identified, as it reflects the criteria used to assess candidate responses during the live series.

GENERAL MARKING GUIDANCE

Positive Marking

It should be remembered that learners are writing under examination conditions and credit should be given for what the learner writes, rather than adopting the approach of penalising him/her for any omissions. It should be possible for a very good response to achieve full marks and a very poor one to achieve zero marks. Marks should not be deducted for a less than perfect answer if it satisfies the criteria of the mark scheme, nor should marks be added as a consolation where they are not merited.

For each question there is a list of indicative content which suggest the range of economic concepts, theory, issues and arguments which might be included in learners' answers. This is not intended to be exhaustive and learners do not have to include all the indicative content to reach the highest level of the mark scheme.

The level-based mark schemes sub-divide the total mark to allocate to individual assessment objectives. These are shown in bands in the mark scheme. For each assessment objective a descriptor will indicate the different skills and qualities at the appropriate level. Learner's responses to questions are assessed against the relevant individual assessment objectives and they may achieve different bands within a single question. A mark will be awarded for each assessment objective targeted in the question and then totalled to give an overall mark for the question.

Section A.

1. Major supermarkets accused of "greedflation" during the cost-of-living crisis

1 1 Explain what is meant by price elasticity of demand and the main factors affecting it. [10]

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of PED, including formula, coefficients and classifications (elastic, inelastic, unitary, perfectly elastic/inelastic).	3-4 marks <i>Good analysis</i> Strong chains of reasoning linking each determinant (substitutes, necessity, proportion of income, time, habit) to the size of PED.
2	3-4 marks <i>Good knowledge</i> A narrower range of factors or superficial treatment.	1-2 marks <i>Limited analysis</i> Chains of reasoning are generally not well developed.
1	1-2 marks <i>Limited knowledge</i> Only a basic knowledge.	1-2 marks <i>Limited analysis</i> Unconvincing.
0	0 marks No relevant knowledge.	0 marks No valid analysis.

Indicative content

AO1

Price elasticity of demand (PED) measures the responsiveness of quantity demanded to a change in price, calculated as $\% \Delta Q_d / \% \Delta P$.

Values: $|PED| > 1$ elastic; $|PED| < 1$ inelastic; $|PED| = 1$ unitary; 0 perfectly inelastic; ∞ perfectly elastic.

PED is typically negative due to the law of demand.

AO3 (factors affecting PED)

Substitutes: more close substitutes → more elastic demand (e.g. Coca-Cola vs supermarket own-brand). Few or no substitutes → inelastic (e.g. petrol, cigarettes).

Necessity vs luxury: necessities (e.g. bread, prescription medicines) are inelastic; luxuries (e.g. designer handbags, holidays) are more elastic.

Proportion of income: low-cost items (chewing gum, matches) are inelastic as price changes are trivial; big-ticket items are more elastic.

Time: in the short run, demand tends to be more inelastic because consumers cannot easily switch; in the long run it becomes more elastic (e.g. petrol – switch to EVs).

Addiction/habit: addictive goods (alcohol, tobacco, gambling) tend to be inelastic.

Brand loyalty: strong brands have lower PED (Apple).

Breadth of definition: narrow definitions (Fuji apple) are elastic; broad definitions (fruit) are inelastic.

Fully credit all other relevant points.

1 2 Discuss whether firms with significant pricing power always act to exploit consumers. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of pricing power (monopoly, oligopoly, monopolistic competition) and its relationship to consumer welfare.	5-6 marks <i>Excellent analysis</i> Clear reasoning on how firms may or may not exploit their position, including profit maximisation, satisficing, ethical and strategic considerations.	6-8 marks <i>Excellent evaluation</i> Balanced two-sided answer that considers different market structures, regulation and stakeholder theory. Reasoned judgment.
2	3-4 marks <i>Good knowledge</i> Narrower range.	3-4 marks <i>Good analysis</i> Good argument line.	3-5 marks <i>Good evaluation</i> Strong two-sided answer.
1	1-2 marks <i>Limited knowledge</i> Few points.	1-2 marks <i>Limited analysis</i> Superficial.	1-2 marks <i>Limited evaluation</i> Undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (For exploitation)

Profit-maximising firms with pricing power set $P > MC$, extracting consumer surplus and creating allocative inefficiency.

Supermarkets have faced allegations of "greedflation" – expanding margins during the cost-of-living crisis and the CMA launched formal investigations into grocery pricing.

Price discrimination (first, second, third degree) can transfer consumer surplus to firms.

Dynamic pricing and algorithmic pricing allow firms to extract surplus from consumers at peak demand (Uber surge pricing, airlines).

Limit pricing and predatory pricing can entrench market power and harm long-run competition.

Inelastic demand (necessities) combined with market power is particularly concerning – energy, fuel, pharmaceuticals, essential foods.

AO1/AO4 (Against / qualifications)

Firms may not actually profit maximise – Baumol (sales), Williamson (managerial), behavioural theories of the firm suggest satisficing behaviour.

Competitive pressures from domestic rivals and imports constrain pricing power even with a high market share – the theory of contestable markets.

Reputation and long-run profit considerations discipline firms – exploiting consumers today damages repeat purchases and brand value.

Stakeholder theory / CSR: firms balance consumer, employee, supplier, community interests against shareholder returns.

Regulation (CMA, Ofgem, Ofwat, FCA) constrains exploitation through price caps, structural remedies and behavioural undertakings.

Dynamic efficiency: supernormal profits fund R&D;, producing new products and lower costs that eventually benefit consumers (e.g. pharmaceutical innovation).

Some price discrimination benefits consumers – e.g. lower fares for students/pensioners, expanding access.

Qualifiers

Depends on market structure and the degree of contestability.

Depends on regulatory effectiveness.

Depends on firm objectives (short vs long run, profit vs satisficing).

Fully credit all other relevant points.

2. Streaming wars intensify: Netflix loses subscribers as Disney+ and Apple TV+ expand

2 1 Outline what is meant by a contestable market and explain the conditions required for contestability. **[10]**

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of contestable markets theory (Baumol), including hit-and-run entry and sunk costs.	3-4 marks <i>Good analysis</i> Strong chains linking the conditions (low entry/exit barriers, low sunk costs, good information, equal access to technology) to the disciplining effect on incumbents.
2	3-4 marks <i>Good knowledge</i> Definition understood but conditions superficial.	1-2 marks <i>Limited analysis</i> Weak chains of reasoning.
1	1-2 marks <i>Limited knowledge</i> Basic definition only.	1-2 marks <i>Limited analysis</i> Unconvincing.
0	0 marks No knowledge.	0 marks No analysis.

Indicative content

AO1

A contestable market is one where the threat of entry, rather than the actual number of firms, disciplines incumbents' behaviour (Baumol, 1982).

In a perfectly contestable market, even a monopolist would price at average cost and earn only normal profits to deter hit-and-run entry.

Distinct from perfect competition – contestable markets can have few firms, but entry and exit must be costless.

AO3 (conditions)

Low barriers to entry: no legal, technical or strategic barriers preventing new firms from entering.

Low barriers to exit: no sunk costs so firms can leave without penalty, enabling "hit-and-run" entry strategies.

Equal access to technology and resources: incumbents cannot exploit superior production methods to deter entrants.

Perfect information: potential entrants must know prices, costs and profits.

Consumer ability to switch: consumers must be willing and able to switch to new entrants for the threat to be credible.

These conditions make incumbents behave as though actually faced with competition, setting prices close to AC and avoiding X-inefficiency.

Fully credit all other relevant points.

2 2 Evaluate whether digital streaming services operate as genuinely contestable markets. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of streaming market characteristics (content production costs, network effects, switching behaviour).	5-6 marks <i>Excellent analysis</i> Clear reasoning on whether each contestability condition is met.	6-8 marks <i>Excellent evaluation</i> Well-developed two-sided answer with reasoned judgment.
2	3-4 marks <i>Good knowledge</i> Narrower range.	3-4 marks <i>Good analysis</i> Good argument.	3-5 marks <i>Good evaluation</i> Strong two-sided.
1	1-2 marks <i>Limited knowledge</i> Few points.	1-2 marks <i>Limited analysis</i> Superficial.	1-2 marks <i>Limited evaluation</i> Undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (For contestability)

Low marginal cost of delivering streaming – once content is produced, adding subscribers is cheap, supporting entry.

Cloud-based infrastructure (AWS, Azure) reduces upfront capital costs for new entrants.

Consumers can easily switch or subscribe to multiple services with no long-term contracts.

Recent entrants (Apple TV+, Disney+, Paramount+, Peacock) have successfully entered and gained market share – evidence of contestability.

Price competition (free/ad-supported tiers, crackdown on password sharing) shows incumbents behaving as if disciplined by entry threats.

Evolving customer base – easier for a new entrant to grab share during market expansion.

AO1/AO4 (Against contestability)

Large sunk costs in content production: Netflix spends ~\$17bn/year on content. This creates significant barriers to entry and exit.

Brand recognition and network effects favour incumbents (Netflix first-mover advantage).

Exclusive IP and licensing deals lock out competitors (Disney pulled Marvel/Star Wars content from Netflix).

Data advantages: incumbents have accumulated huge viewership data enabling better recommendations and content investment decisions.

Multi-sided platform economics and bundling (Apple One, Amazon Prime) leverage other business lines, disadvantaging standalone entrants.

Consumer inertia and churn-reduction strategies (password crackdowns, multi-year exclusives) reduce switching.

Despite entry, industry concentration remains high with 4–5 dominant global players.

Qualifiers

The streaming market has features of both contestable and oligopolistic markets.

Geographic markets differ – US and UK have many entrants; developing markets often dominated by one or two.

Sunk costs in content make it "less than perfectly" contestable but not a pure monopoly.

Fully credit all other relevant points.

Section B.

3. Pound sterling falls to 12-month low against the US dollar

3 1 Using a diagram, explain the factors that determine the exchange rate of the pound in a floating exchange rate system. **[10]**

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of currency demand/supply and a well-labelled D/S diagram. Wide range of determinants.	3-4 marks <i>Good analysis</i> Strong chains linking determinants (interest rates, inflation, growth, trade, speculation) to shifts in D and S.
2	3-4 marks <i>Good knowledge</i> Good knowledge but diagram may contain minor errors.	1-2 marks <i>Limited analysis</i> Weak chains.
1	1-2 marks <i>Limited knowledge</i> Basic. Missing/wrong diagram.	1-2 marks <i>Limited analysis</i> Unconvincing.
0	0 marks No knowledge.	0 marks No analysis.

Indicative content

AO1

A floating exchange rate is determined by the forces of demand for and supply of the currency in foreign exchange markets.

A D/S diagram with GBP price (in USD) on the Y-axis and quantity of GBP on X-axis. Equilibrium where $D=S$.

Demand for GBP comes from: foreign buyers of UK exports, foreign investors (FDI, portfolio), foreign savers seeking higher UK interest rates, tourism to UK, speculators.

Supply of GBP comes from: UK importers, UK investors abroad, UK tourists abroad, speculators selling GBP.

AO3 (determinants)

Relative interest rates: higher UK rates $\rightarrow$ capital inflows $\rightarrow$ rising D for GBP $\rightarrow$ appreciation (hot money flows).

Relative inflation rates: higher UK inflation $\rightarrow$ UK goods less competitive $\rightarrow$ falling D for UK exports $\rightarrow$ depreciation (PPP theory).

Relative growth rates: stronger UK growth may raise imports (depreciation) but also attract investment (appreciation) – net effect ambiguous.

Current account: persistent deficits increase GBP supply on forex markets, creating downward pressure.

Speculation: currency traders buy/sell based on expected future moves.

Political stability: uncertainty (e.g. Brexit, political instability) can cause capital flight.

Central bank interventions: buying/selling reserves to influence the rate.

Fully credit all other relevant points.

3 2 Evaluate the impact of a sustained depreciation of the pound on the UK economy. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of depreciation effects on trade, inflation, growth, employment.	5-6 marks <i>Excellent analysis</i> Excellent reasoning including Marshall-Lerner condition and J-curve.	6-8 marks <i>Excellent evaluation</i> Well-developed two-sided answer, reasoned judgment.
2	3-4 marks <i>Good knowledge</i> Narrower range.	3-4 marks <i>Good analysis</i> Good argument.	3-5 marks <i>Good evaluation</i> Strong two-sided.
1	1-2 marks <i>Limited knowledge</i> Few points.	1-2 marks <i>Limited analysis</i> Superficial.	1-2 marks <i>Limited evaluation</i> Undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (Positive effects)

Exports become cheaper in foreign currency, imports become more expensive domestically. SPICED – Strong Pound Imports Cheap Exports Dear; depreciation is the reverse.

If the Marshall-Lerner condition holds ($|PED_x| + |PED_m| > 1$), depreciation improves the current account in the long run (J-curve).

Export-led growth: higher net exports boost AD, real GDP, and employment.

Inward tourism and foreign investment can increase as UK assets become cheaper in USD.

Relief for industries competing with imports – import substitution.

AO1/AO4 (Negative effects)

Imported inflation: higher prices for oil, gas, raw materials and consumer goods, squeezing real incomes (particularly salient during UK cost-of-living crisis).

UK firms dependent on imported inputs face higher costs, squeezing profit margins.

Short run: J-curve effect – current account deteriorates before improving as trade volumes take time to respond.

May trigger Bank of England interest rate hikes to contain inflation, which could hurt growth and investment.

Debt servicing costs rise for UK firms/government with foreign-currency-denominated debt.

Reduces purchasing power of UK tourists and expats abroad.

Signals weakness in the UK economy, damaging investor confidence.

Qualifiers

Depends on the Marshall-Lerner condition holding.

Depends on the cause of depreciation (export boom vs capital flight).

Depends on global economic conditions (trading partners in recession limit export gains).

Depends on the degree of import dependency of UK firms.

Fully credit all other relevant points.

4. Chancellor announces £30bn increase in public spending despite rising national debt

4 1 Explain the difference between discretionary fiscal policy and automatic stabilisers. [10]

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of both concepts with clear examples.	3-4 marks <i>Good analysis</i> Clear chains linking how each operates to stabilise the economy.
2	3-4 marks <i>Good knowledge</i> Concepts understood, less detail.	1-2 marks <i>Limited analysis</i> Weak chains.
1	1-2 marks <i>Limited knowledge</i> Basic.	1-2 marks <i>Limited analysis</i> Unconvincing.
0	0 marks No knowledge.	0 marks No analysis.

Indicative content

AO1

Fiscal policy is the use of government spending (G) and taxation (T) to influence aggregate demand and the economy.

Discretionary fiscal policy: deliberate changes to G or T by government decision (e.g. Chancellor announcing £30bn increased spending, VAT cut during Covid, stimulus packages).

Automatic stabilisers: features of the tax and benefit system that automatically dampen economic cycles without explicit government action.

Examples of automatic stabilisers: progressive income tax (takes more in boom, less in recession), unemployment benefits (rise when economy weakens), corporation tax receipts (fall in recession).

AO3

Automatic stabilisers operate without recognition/decision/implementation lags, responding immediately to economic conditions.

Discretionary policy suffers from time lags – recognition, decision, implementation – meaning it may be pro-cyclical when it arrives.

In a recession: tax revenues fall automatically as incomes/profits decline, benefits rise automatically as unemployment rises → AD supported without explicit action.

Discretionary policy can be targeted (e.g. stamp duty holiday for housing, furlough scheme for workers).

Fully credit all other relevant points.

4 2 Evaluate the extent to which expansionary fiscal policy is effective in stimulating economic growth. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of expansionary fiscal policy and its transmission.	5-6 marks <i>Excellent analysis</i> Strong chains of reasoning including the multiplier effect.	6-8 marks <i>Excellent evaluation</i> Well-developed two-sided, considers crowding out, debt sustainability, Ricardian equivalence. Reasoned judgment.
2	3-4 marks <i>Good knowledge</i> Narrower range.	3-4 marks <i>Good analysis</i> Good argument.	3-5 marks <i>Good evaluation</i> Strong two-sided.
1	1-2 marks <i>Limited knowledge</i> Few points.	1-2 marks <i>Limited analysis</i> Superficial.	1-2 marks <i>Limited evaluation</i> Undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (Effective)

Higher G or lower T raises AD ($AD = C + I + G + X - M$), shifting AD rightward and increasing real GDP in the short run (Keynesian AD/AS).

The multiplier effect means each £1 of initial spending generates more than £1 of final output as recipients spend their income (multiplier = $1/(MPS+MPT+MPM)$).

Government investment in infrastructure (HS2, road building, broadband) raises LRAS as well as AD, providing supply-side benefits.

Education and training spending raises human capital and productivity.

Countercyclical spending during recessions prevents hysteresis (long-term unemployment destroying human capital).

Can crowd in private investment by improving expectations and reducing risk.

During recessions, fiscal multipliers are larger because spare capacity exists and monetary policy may be at the zero lower bound.

AO1/AO4 (Limitations)

Crowding out: higher government borrowing can push up interest rates, reducing private investment – the public-sector multiplier is offset by private-sector contraction.

Ricardian equivalence: households may anticipate future tax rises needed to repay debt and save more today, offsetting the stimulus.

Debt sustainability: UK national debt is over 100% of GDP. Market concerns could trigger bond yield spikes (Truss mini-budget 2022).

Time lags: discretionary fiscal policy takes time to design and implement.

Inflationary risks: if the economy is near full capacity, extra spending causes inflation rather than real growth.

Currency depreciation: higher borrowing may weaken the currency, raising imported inflation.

Leakages to imports: in an open economy, some stimulus leaks out as imports.

Political capture: spending may be directed to marginal constituencies rather than productive uses.

Alternative policies: monetary policy (if rates aren't at ZLB), supply-side reforms, macroprudential tools.

Qualifiers

Depends on state of the economy – effective in recession, less so at full capacity.

Depends on the type of spending (investment vs consumption; productive vs consumption).

Depends on state of public finances and debt credibility.

Depends on openness of the economy and the fiscal multiplier.

Fully credit all other relevant points.

Section C.

5. UK current account deficit widens to a record £71bn

5 1 With the aid of a diagram or balance, explain the main components of the balance of payments. [10]

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of the current account (goods, services, primary and secondary income), capital and financial accounts. Accurate diagram/table showing balance.	3-4 marks <i>Good analysis</i> Strong chains linking components together; understanding that BoP must balance overall.
2	3-4 marks <i>Good knowledge</i> Main components identified with some errors in sub-components.	1-2 marks <i>Limited analysis</i> Weak chains.
1	1-2 marks <i>Limited knowledge</i> Basic understanding only.	1-2 marks <i>Limited analysis</i> Unconvincing.
0	0 marks No knowledge.	0 marks No analysis.

Indicative content

AO1

The balance of payments records all financial transactions between UK residents and the rest of the world over a period.

Current account: trade in goods (merchandise); trade in services (financial, tourism, education); primary income (interest, profits, dividends); secondary income (transfers, aid, remittances, EU contributions).

Capital account: transfers of capital such as debt forgiveness, patents and copyrights (small in size).

Financial account: FDI, portfolio investment (shares, bonds), reserve assets, other investment.

In theory the BoP sums to zero – a current account deficit is offset by a capital and financial account surplus.

AO3

The UK runs a persistent current account deficit (historically driven by trade in goods), but partially offset by a services surplus (financial/insurance services, education).

Primary income can be positive or negative depending on net ownership of foreign assets and earnings thereon.

A current account deficit must be financed – by foreign purchases of UK assets (FDI, gilts, equities), or by running down reserves.

If foreign confidence declines, financing the deficit becomes harder – potentially triggering currency depreciation.

Fully credit all other relevant points.

5 2 Assess the extent to which a persistent current account deficit is a problem for the UK. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of effects of current account deficits.	5-6 marks <i>Excellent analysis</i> Strong reasoning on implications for exchange rates, debt, competitiveness.	6-8 marks <i>Excellent evaluation</i> Balanced answer considering sustainability, composition, circumstances. Reasoned judgment.
2	3-4 marks <i>Good knowledge</i> Narrower range.	3-4 marks <i>Good analysis</i> Good argument.	3-5 marks <i>Good evaluation</i> Strong two-sided.
1	1-2 marks <i>Limited knowledge</i> Few points.	1-2 marks <i>Limited analysis</i> Superficial.	1-2 marks <i>Limited evaluation</i> Undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (Yes, it is a problem)

A persistent deficit implies that the UK is consuming more than it produces, living beyond its means – sustainable only while foreigners lend.

Deficit signals structural uncompetitiveness of UK goods (slow productivity growth, high unit labour costs).

Financing requires foreign ownership of UK assets – over time, profits, rents and interest flow abroad, reducing future primary income.

Risk of sudden stop: if international investors lose confidence, capital flight triggers currency crisis and forced adjustment (e.g. ERM crisis 1992, Turkey, Argentina).

May force higher interest rates to attract capital inflows, damaging investment and growth.

Deindustrialisation – loss of manufacturing capacity and associated jobs.

Exchange rate depreciation imports inflation.

AO1/AO4 (No, not necessarily a problem)

The UK has run a current account deficit for most of the past 40 years without triggering crisis – sterling is a reserve currency, gilts are in demand globally.

If the deficit finances productive investment (FDI into UK factories), it builds capacity and future export potential.

Consumption deficits may reflect strong UK growth relative to trading partners – demand-led rather than structural.

Floating exchange rates provide an adjustment mechanism – persistent deficits trigger depreciation, eventually improving competitiveness.

BoP constraints are weaker for countries with reserve currencies and deep capital markets (US, UK, Japan).

Services surplus (especially City of London financial services, education, creative industries) partially offsets goods deficit.

The twin deficits hypothesis suggests the CA deficit mirrors fiscal deficit – addressing one addresses the other.

Qualifiers

Depends on the size relative to GDP (generally <4% sustainable).

Depends on how the deficit is financed (FDI vs short-term portfolio flows).

Depends on the cause (cyclical growth vs structural uncompetitiveness).

Depends on the currency – reserve currency countries have much more flexibility.

Fully credit all other relevant points.

6. FDI into Africa hits record \$83bn as investors target energy transition projects

6 1 Explain how foreign direct investment (FDI) can contribute to economic development in low-income countries. **[10]**

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of FDI and its channels of development impact.	3-4 marks <i>Good analysis</i> Strong chains linking FDI to employment, tax revenue, technology transfer, infrastructure.
2	3-4 marks <i>Good knowledge</i> Narrower range of channels.	1-2 marks <i>Limited analysis</i> Weak chains.
1	1-2 marks <i>Limited knowledge</i> Basic.	1-2 marks <i>Limited analysis</i> Unconvincing.
0	0 marks No knowledge.	0 marks No analysis.

Indicative content

AO1

FDI is long-term cross-border investment by a firm in productive assets in another country, typically giving control or significant influence ($\geq 10\%$ ownership).

Forms: greenfield investment (new facilities), brownfield (expansion/acquisition), mergers and acquisitions, joint ventures.

AO3 (channels of development impact)

Fills the savings-investment gap: injection of capital raises investment, which through Harrod-Domar raises growth.

Employment creation: direct jobs in MNC facilities, indirect jobs via the multiplier effect and in supply chains.

Tax revenue: corporation tax, income tax, VAT – enlarging the government's fiscal capacity to fund health, education, infrastructure.

Technology and knowledge transfer: training of local workforce, spillovers to domestic firms through supplier/customer linkages.

Balance of payments: FDI inflows (financial account surplus) help finance current account deficits and build foreign exchange reserves.

Infrastructure development: host-country infrastructure often developed to support MNC operations (ports, roads, power).

Access to global markets: MNCs integrate local producers into global value chains.

Competition effects: pressure domestic firms to raise productivity.

Fully credit all other relevant points.

6 2 Evaluate whether FDI is always beneficial for host developing countries. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of both sides.	5-6 marks <i>Excellent analysis</i> Strong reasoning including profit repatriation, transfer pricing, resource curse.	6-8 marks <i>Excellent evaluation</i> Reasoned judgment considering context, regulation, sector.
2	3-4 marks <i>Good knowledge</i> Narrower range.	3-4 marks <i>Good analysis</i> Good argument.	3-5 marks <i>Good evaluation</i> Strong two-sided.
1	1-2 marks <i>Limited knowledge</i> Few points.	1-2 marks <i>Limited analysis</i> Superficial.	1-2 marks <i>Limited evaluation</i> Undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (For)

All the development channels from Part 1 – capital, employment, technology, infrastructure, tax revenue, integration into world economy.

East Asian miracle economies (Korea, Taiwan, China) used FDI as a key component of development strategy.

FDI into renewable energy in Africa supports the green transition, building sustainable capacity.

Higher-quality jobs with MNC wages often above local averages, raising living standards.

AO1/AO4 (Against / costs)

Profit repatriation: over time, profits flow back to MNC home countries, worsening the primary income balance and creating a long-run drain.

Transfer pricing: MNCs manipulate intra-firm prices to shift profits to low-tax jurisdictions, reducing host-country tax revenue. (Starbucks, Google, Apple cases).

Enclave economies: extractive FDI (oil, mining) creates isolated enclaves with few linkages to the wider economy.

Race to the bottom: countries compete with tax breaks, relaxed labour and environmental regulation to attract FDI – undermining development.

Resource curse: FDI in extractive industries creates currency appreciation, Dutch disease, and rent-seeking rather than broad-based development.

Displacement of local firms: superior MNC scale and technology crowds out infant domestic industries.

Cultural erosion and loss of sovereignty: MNCs bring standardised global culture and reduce government autonomy.

Labour abuses: some MNCs exploit weak labour regulation (Rana Plaza, Bangladesh).

Volatile capital flows: portfolio FDI can reverse rapidly in crises.

Qualifiers

Depends on the sector – manufacturing/renewables generally more beneficial than extractive industries.

Depends on host-country governance and regulatory capacity.

Depends on the form of FDI (greenfield vs M&A;).

Depends on complementary policies (education, infrastructure, tax administration).

Fully credit all other relevant points.

AO grid

	AO1	AO2	AO3	AO4	Total
1 (a)	6		4		10
1 (b)	6		6	8	20
2 (a)	6		4		10
2 (b)	6		6	8	20
3 (a)	6		4		10
3 (b)	6		6	8	20
4 (a)	6		4		10
4 (b)	6		6	8	20
5 (a)	6		4		10
5 (b)	6		6	8	20
6 (a)	6		4		10
6 (b)	6		6	8	20
Total	36	0	30	24	90

A520U30-1H EDUQAS GCE A Level Economics – Component 3 MS S24/MLS – Hard